

stock market trends attest. It is not unreasonable, then, to assume that British colonists shared with the British in England popular opinions on the valuation of the empire's productive enterprise, at least up until the start of the Revolutionary War. At that point, the trends diverge somewhat. Data collected by the Foundation for the Study of Cycles suggests a low in prices for the few existing American stocks either in 1788 or in or just before 1779. An earlier low in colonial stock prices makes sense in that the American market would have discounted the devastation from, and possible loss of, the Revolutionary War, while British stock prices would have reflected a probable win until the end of the war in 1781. Regardless of the exact date of the low, all available evidence supports Elliott's and our conclusion that a Grand Supercycle advance began in the late 1700s.

The Message From Two Long Term Trend Channels

The mere fact that five waves have unfolded according to the rules and guidelines of the Wave Principle for over two centuries is a strong indication that the biggest bear market since the 1700s is imminent. There are two studies that firmly support this conclusion.

First, take a look at the upper trendline drawn in Figure 2-1, which has served as a technical measure of overvaluation for over one hundred sixty years. (Some people say that technicians create trendlines, but the market creates them; we merely make them visible.) Each time in the past that the stock market advanced to meet this line, it reversed direction and suffered a bear market of historic size. It has been touched or nearly touched only three times before: at the top of wave (I) in 1835, at the top of wave (III) in 1929, and in 1966, when the inflation-adjusted DJIA (see Chapter 3) registered its orthodox (i.e., end-of-pattern) high. Those junctures were less than ideal times to be invested in stocks, as they preceded declines of 78%, 89% and 45% (74% in the Value Line index, and far more after adjusting for inflation) respectively, the three largest declines of the past two centuries. Today, for the first time ever, the Dow has *exceeded* that line. What are the implications of this feat?

The price action of most impulses (standard five-wave patterns) is bounded between parallel lines according to certain rules. The proper channel is typically drawn by connecting the lows of waves two and four, then drawing a parallel line forward from the top of